Founder’s Dilemma · Teaching pack

Session 2 of 6

3 hours · rounds 2 and 3

From problem to MVP.

Use customer discovery to reduce uncertainty, decide when to launch, and read the product-market fit score.

Session 2
Agenda

Today’s three hours.

01	02	03	04
Debriefing	**Lesson**	**Rounds 2 and 3**	**Wrap-up**
20-30 minutes	40 minutes	2 × 35-40 minutes	15 minutes
Round 1: leaderboard and news in projector view.	Customers and hypotheses, the MVP, product-market fit, pivots.	Timer on the projector; the teacher circulates among the teams.	Round report, decision memo assignment.

Lesson

Steve Blank, The Four Steps to the Epiphany (2005)

Get out of the building.

Inside the office there are only opinions: the facts are outside, in conversations with customers. The problem first, then the solution.

01	02	03	04
Discovery	**Validation**	**Creation**	**Building**
Does the problem exist, and is it painful enough?	Does anyone buy, and is the process repeatable?	Create demand and bring in customers at scale.	From a team that searches to a company that executes.

- **In the game.** Customer discovery, light or deep, costs money every month but raises problem clarity and learning velocity.

Lesson

Eric Ries, The Lean Startup (2011)

A business plan is a list of hypotheses.

Ries calls them “leap-of-faith assumptions”: the assumptions everything else depends on. There are two, and they are the first to test.

Value hypothesis

Does the product really create value for the people who use it? You measure it by what customers do, not by what they say.

Growth hypothesis

How will new customers discover the product? Word of mouth, advertising, direct sales: each one has a different cost.

- **In the game.** The decision memo asks for each round’s hypotheses and, in the next round, the check: did they come true?

Lesson
Lean Startup

Build, measure, learn. As fast as you can.

Build

The minimum you need to test a hypothesis.

Measure

What real customers do, not what they say.

Learn

Persevere or change direction, then go around again.

> “The minimum viable product is that version of a new product which allows a team to collect the maximum amount of validated learning about customers with the least effort.”
>
> Eric Ries, The Lean Startup (2011)

- **In the game.** Launching from 50% of the MVP instead of at 100% raises learning velocity.

Lesson
The MVP in practice

An MVP doesn’t have to be a product.

Video · 2008

Dropbox

A three-minute video shows how the product will work. The waitlist jumps from 5,000 to 75,000 people overnight.

Wizard of Oz · 1999

Zappos

Nick Swinmurn photographs shoes in stores and puts them online. For each order, he buys the pair at full price and ships it.

Concierge

Food on the Table

A single customer, in Austin. Every week the founders put together her menu and shopping list by hand. The software comes later.

- **In the game.** Before launch, marketing builds a waitlist, and 35% of it turns into customers at launch.

Lesson
Product-market fit

“Product/market fit means being in a good market with a product that can satisfy that market.”

Marc Andreessen, The only thing that matters (2007)

When it’s missing

Customers don’t see the value, word of mouth never takes off, sales drag on for months.

When it’s there

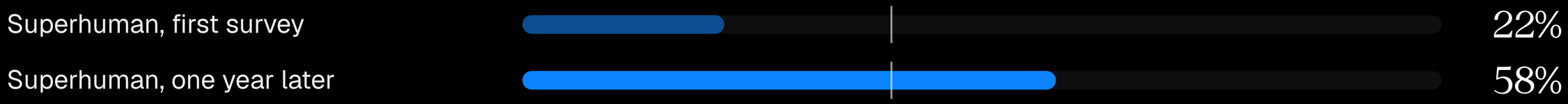
Customers buy faster than you can make the product and serve them.

- **In the game.** Fit is a score from 0 to 100: problem clarity, solution fit, market pull, learning velocity.

Lesson
Sean Ellis · Superhuman

One question to measure fit.

> “How would you feel if you could no longer use the product?”
>
> Very disappointed, somewhat disappointed, not disappointed. If at least 40% answer **very disappointed**, you have fit.



The white line is the 40% threshold. Source: Rahul Vohra, How Superhuman built an engine to find product-market fit (2018).

- **In the game.** The share of very disappointed users grows with the fit score: at 60 it reaches about 40%, Ellis’s threshold.

Lesson
The pivot

Change the strategy, keep the vision.

2005

YouTube

It starts as a video dating site. Nobody uploads videos to introduce themselves, so the founders open it up to any video.

2006

Twitter

It is born inside Odeo, a podcasting platform overtaken by iTunes. An internal short-message project becomes the company.

2010

Instagram

Burbn is a check-in app with too many features. Users mostly share photos, so the founders keep only that.

- **In the game.** In the “Pivot or persevere?” dilemma, a pivot brings an idea with new potential, but it costs customers and brand.

Lesson
Ward Cunningham, OOPSLA (1992)

Technical debt: speed today, interest tomorrow.

> “Shipping first time code is like going into debt. A little debt speeds development so long as it is paid back promptly with a rewrite.”
>
> Ward Cunningham, The WyCash Portfolio Management System (1992)

The loan

Shortcuts to ship sooner: fewer tests, less cleanup, temporary fixes.

The interest

Every later change costs more: more bugs, slower development, customers who leave.

- **In the game.** Rushed development piles up debt and bugs; debt slows development, and refactoring 10% or 25% of the time pays it down.

Lesson
Summary

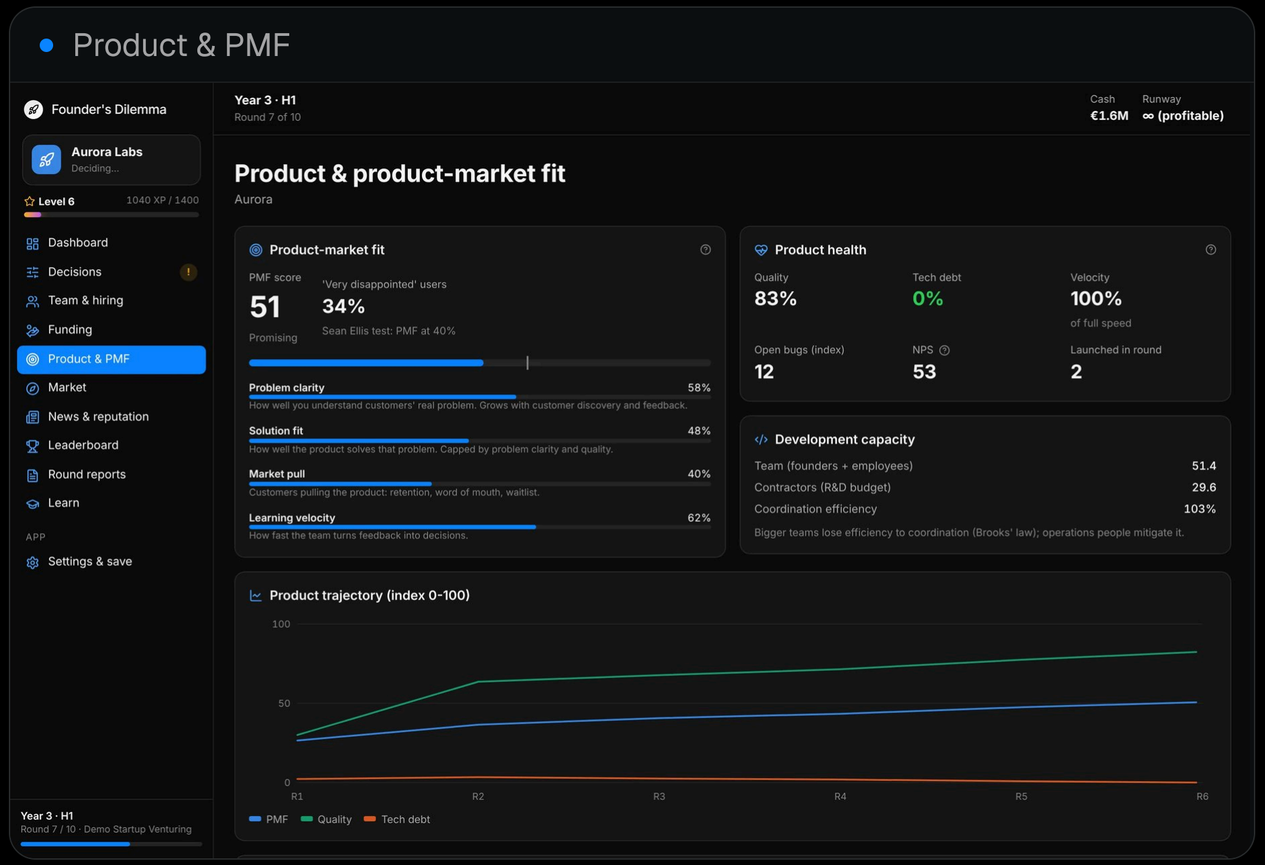
Before you build, five questions.

01	What is the riskiest hypothesis, the one that brings everything down if it’s false?
02	What is the cheapest way to test it?
03	Which number will tell us whether we were right, and what threshold did we set?
04	Have we talked to our first customers in person?
05	What will we do if the answer is no: pivot or persevere?

In the game
Rounds 2 and 3

Today's decisions.

- **Target customers:** niche, broad market or premium.
- **Discovery:** none, light (€1,000 a month) or deep (€3,000 a month).
- **Development:** rush, balanced or quality first.
- **Launch:** at 100% of the MVP, or from 50% to learn sooner.
- **Tech debt:** how much time to give to refactoring.



Discussion prompt
Balancing simulations

Lean versus blitz: who reaches fit.

Deep discovery and quality development, versus an early launch and heavy spending from day one.

95%

of lean bots reach a PMF of at least 60

0%

of blitz bots get there

52 · 30

the founders' stake at the end of the game, in percent: lean versus blitz

Debriefing
Guiding questions

Four questions for rounds 2 and 3.

01 Launch now or polish the MVP? What do you lose and what do you gain by waiting a round?

02 Compare two teams: does the one that did more discovery have a higher PMF? At what cost in cash?

03 The first dilemma: whoever faced it tells the class.

04 Niche or broad market? Can the teams that chose a beachhead describe their customer in one sentence?

Assignment

Decision memo for rounds 2 and 3

Before the next session.

Decision memo

Rounds 2 and 3.

One page per round: situation, hypotheses, decisions, risks, and the check on the previous memo’s hypotheses.

Next session

Go-to-market and unit economics.

Pricing, channels, CAC, LTV, churn and the chasm.